

Week ending: 12th February 2021

Weekly Fixed Income Note

Key Highlight:

A total of KES **24.0 Billion** worth of T-bills were on offer during the week. The **364-day** T-bill was oversubscribed recording **160.79%** while the **91-day & 182-day** T-bills were undersubscribed recording **23.91% and 46.98%** respectively. The CBK accepted KES **0.94B**, **4.22B** and **14.10B** respectively of the bids for the **91-day, 182-day** and **364-day** T-bills on offer accepting a total of **19.24B.**

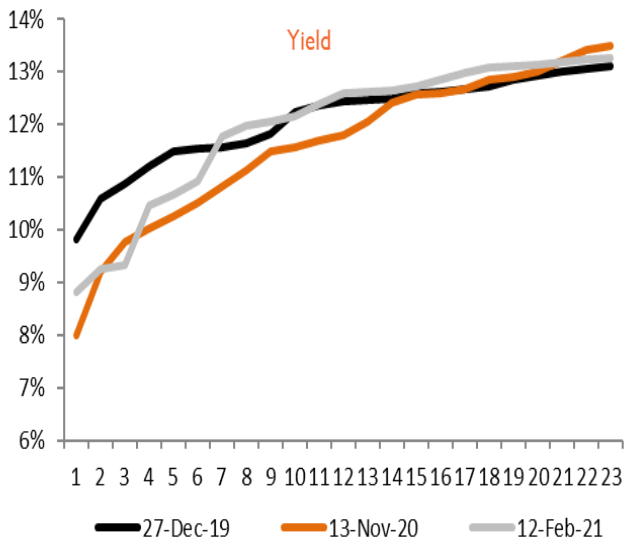
Central Bank of Kenya opened a Tap-sale on Fixed Bonds **FXD1/2013/15-(7.1 years)** and **FXD1/2012/20-(11.8 years)** on a first-come-first-served basis in a bid to raise **KES18B**. The coupon rates for the bonds are **11.25%** and **12.00%.** The period of sales runs from **09/02/2021** to **17/02/2021.** The bonds attract a withholding tax of **10%.**

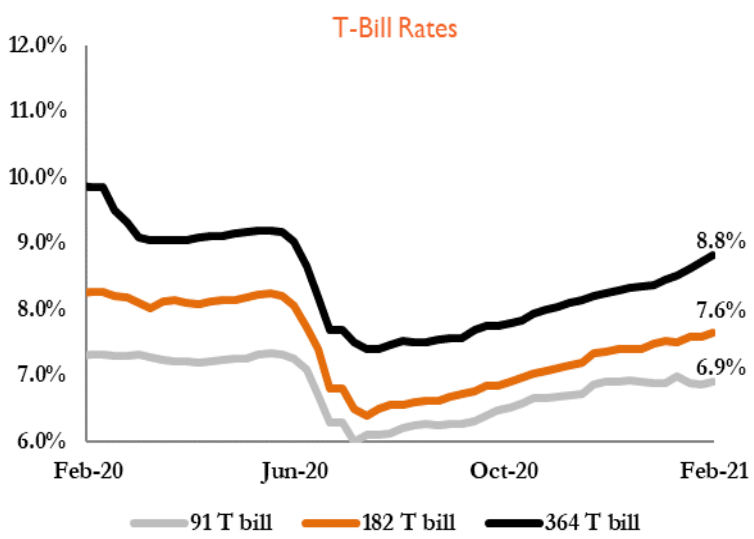
Key Indicators

	Current	Previous	% Change
91- Day	6.91%	6.87%	0.03%
182-Day	7.64%	7.59%	0.05%
364-Day	8.82%	8.72%	0.11%
Interbank Rate	3.55%	5.33%	-1.78%

Macroeconomic data	Current	Previous
GDP (2Q20 vs. 2Q19)	-5.7%	5.6%
Inflation (January)	5.7%	5.62%
Private sector credit growth (August)	8.30%	7.6%
Money Supply (October)	11.50%	10.70%

Interest Rates





MACROECONOMIC NEWS

Currency

The Kenya shilling gained ground against the USD this past week appreciating by **0.34%** to stand at **109.44**.The CBK's usable forex reserves currently stands at **USD 7,638 million (4.69** months of import cover**)** as at February 11th a **0.28%** increase from **USD 7,617 million (4.68** months of import cover**)** as at February 4th.

Inflation

In January, Headline inflation stood at **5.69%** from **5.62%** in December. The CPI increased by **0.63%** from **111.87** in December to **112.58** in January. This increase occurred on the back of a rise in prices of food which outweighed the decreases. Meanwhile, the food and alcoholic beverages index increased by **1.26%** due to the increase in prices of select food items. Headline inflation is likely to increase with the rise in food prices as food products carry a significant weighting in the inflation basket.

GDP growth

Growth receded to **-1.1%** in 3Q20 from **5.8%** in the corresponding period of 2019. The economic performance remained depressed due to Covid-19 but better compared to 2Q20. The quarterly improvement was majorly supported by growth in the agricultural sector that recorded **6.3%** growth compared to **5.0%** in 2019 and growth in construction by **16.2%** versus **6.6%** in 2019. Manufacturing, Electricity and Transportation sectors each recorded **3.2%, 4.7%** and **9.9%** growth respectively. For more information click here

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